

Persistent Systems Ltd

Equity Research Report

DCF · Relative Comps · Football Field Valuation

Prepared: August 2026

1. What this model is

This is an equity research valuation model for Persistent Systems Ltd, an Indian IT services company, built the way a sell-side or buy-side analyst would approach it: three separate valuation lenses — a Discounted Cash Flow (DCF), a Relative (peer comps) Valuation, and a Football Field summary that lays all the approaches side by side against the current market price. The full working model is in the accompanying Excel file, Persistent_Systems_Equity_Research_Model.xlsx.

2. Company snapshot

Persistent Systems has grown revenue from ₹5,711 Cr in FY22 to ₹14,748 Cr in FY26 — nearly 2.6x in five years, a ~27% revenue CAGR, well ahead of the Indian IT services industry average. EBITDA margin has stayed in a fairly tight 18–20% band through this scale-up, and net margin has improved from 12.1% to 12.6%, with FY26 net profit at ₹1,865 Cr.

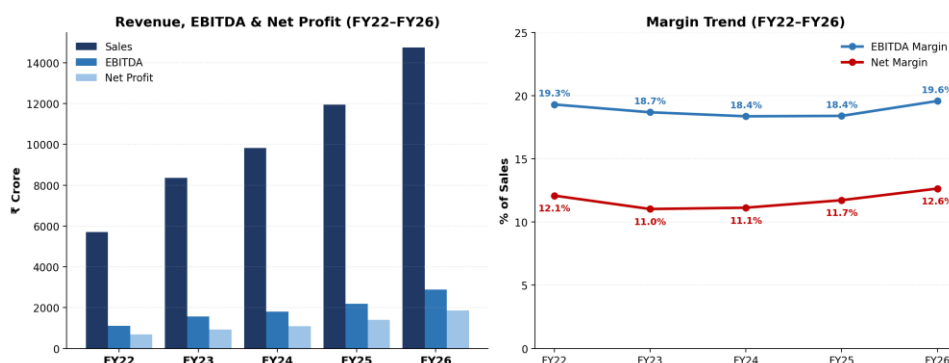


Figure 1 — Revenue/EBITDA/Net Profit growth and margin trend, FY22–FY26.

3. Growth assumptions — ROIC and reinvestment

Rather than assuming a growth rate, the model derives it fundamentally from the business's own return profile:

- Return on Invested Capital (ROIC) has ranged between 42% and 68% over FY21–FY26 — a very high-return, capital-light business, typical of an IT services model.
- Reinvestment Rate has been volatile year to year (37% to 92%), with a 5-year median of 69.2% — the figure the model uses going forward.

- Intrinsic Growth Rate = ROIC × Reinvestment Rate. The 5-year median works out to 28.75%, which is the 'Expected Growth' figure driving the DCF's near-term FCFF forecast.

This 28.75% is a historical median and sits well above what a large IT services company can realistically sustain for five straight years — worth treating as an upper-case assumption rather than a base case (more on this in the caveats section).

4. Cost of capital (WACC)

The discount rate is built bottom-up using a peer set of four listed Indian IT/services companies (Persistent Systems, Oracle Financial Services, Coforge, and Mphasis) plus an LTM aggregate:

Component	Value
Risk-free rate	6.85%
Equity risk premium	6.10%
Peer median unlevered beta	1.13
Re-levered beta (target D/E)	1.45
Cost of Equity	15.69%
Pre-tax cost of debt	7.50%
After-tax cost of debt	5.25%
Target capital structure (Equity : Debt)	93.5% : 6.5%
WACC	15.01%

Weighted Average Cost of Capital								
Peer Companies								
Name	Country	Total Debt	Total Equity	Tax Rate	Debt/Equity	Debt/Capital	Levered Beta	Unlevered Beta
LTM	India	2,310.0	131,820.6	30.00%	1.75%	1.72%	1.16	1.15
Oracle Fin. Serv.	India	32.5	103,353.1	30.00%	0.03%	0.03%	1.02	1.02
Persistent Systems	India	477.5	89,040.5	30.00%	0.54%	0.53%	1.09	1.09
Coforge	India	727.8	84,234.6	30.00%	0.86%	0.86%	1.14	1.13
Mphasis	India	2,619.7	46,088.1	30.00%	5.68%	5.38%	1.32	1.27
Average				30.00%	1.77%	1.70%	1.15	1.13
Median				30.00%	0.86%	0.86%	1.14	1.13
Cost of Debt								
Pre-tax Cost of Debt				7.50%				
Tax Rate				30.00%				
After Tax Cost of Debt				5.25%				
Cost of Equity								
Risk Free Rate				6.85%				
Equity Risk Premium				6.10%				
Levered Beta				1.45				
Cost of Equity				15.69%				
Capital Structure								
		Current	Target					
Total Debt	477.5	0.53%	6.50%					
Market Capitalization	89,040.5	99.47%	93.50%					
Total Capitalization	89517.99	100.00%	100.00%					
Debt / Equity		0.54%	6.95%					
Levered Beta								
Comps Median Unlevered Beta			1.13					
Target Debt/ Equity			6.95%					
Tax Rate			30.00%					
Levered Beta			1.45					
Weighted Average Cost of Capital								
Cost of Equity			15.69%					
Equity Weight			93.50%					
Cost of Debt			5.25%					
Debt Weight			6.50%					
WACC			15.01%					

Figure 2 — WACC build-up: peer comparables, cost of equity, and cost of debt.

5. DCF valuation output

Using FY26 EBIT of ₹2,483.9 Cr as the base, the model grows EBIT at 28.75% for the explicit five-year forecast, applies a 25% tax rate and a 69.2% reinvestment rate to derive Free Cash Flow to Firm (FCFF), and discounts each year using the mid-year convention at a 15.01% WACC:

Persistent Systems — DCF: FCFF Build & Present Value

	FY26A	FY27F	FY28F	FY29F	FY30F	FY31F
EBIT (₹ Cr)	2,483.9	3,198.1	4,117.5	5,301.4	6,825.6	8,788.0
EBIT (1-T)	1,862.9	2,398.5	3,088.2	3,976.0	5,119.2	6,591.0
Reinvestment Rate	69.2%	69.2%	69.2%	69.2%	69.2%	69.2%
Free Cash Flow to Firm	574.0	739.0	951.5	1,225.1	1,577.3	2,030.8
PV of FCFF	—	689.1	771.4	863.6	966.7	1,082.2

Figure 3 — FCFF build and present value, FY26A–FY31F.

Terminal value is calculated on FY32 FCFF (₹2,140 Cr) using a 5.38% terminal growth rate (a long-term GDP growth proxy), giving a Terminal Value of ₹22,215 Cr, which discounts back to a present value of ₹11,838 Cr. Adding the ₹4,373 Cr present value of the explicit FCFF stream, adding cash of ₹1,218 Cr and subtracting debt of ₹143 Cr, the model arrives at an equity value of ₹17,286 Cr, or ₹1,097.65 per share on 15.75 Cr shares outstanding.

Because the sensitivity table in the DCF tab uses Excel's native Data Table (What-If Analysis) feature, it doesn't recalculate in non-Excel viewers — the version below is redrawn from the model's own cached values so the full picture is visible:

DCF Sensitivity — Equity Value per Share (₹)

	11%	13%	15%	17%	19%
1.4%	1,098	968	877	809	757
3.4%	1,295	1,098	968	877	809
5.4%	1,631	1,295	1,098	968	877
7.4%	2,339	1,631	1,295	1,098	968
9.4%	4,779	2,339	1,631	1,295	1,098
Terminal Growth Rate					
	11%	13%	15%	17%	19%
WACC					

Figure 4 — DCF sensitivity: equity value per share across WACC and terminal growth combinations. Opens correctly as a live Data Table in Excel.

6. Relative (comps) valuation

The model also values Persistent Systems against nine listed peers (Oracle Financial Services, Coforge, Mphasis, Hexaware, Tata Elxsi, Firstsource, eClerx, KPIT, and Fractal Analytics) on EV/Revenue, EV/EBITDA, and P/E multiples:

Multiple	Peer Median	Implied Value/Share
EV/Revenue	3.4x	₹3,437.20
EV/EBITDA	17.6x	₹3,265.66
P/E	34.3x	₹4,182.21

Comparable Company Valuation											
Company	Market Data				Financials			Valuation			
	Share Price	Shares O/S	Equity Value	Net Debt	Enterprise Value	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
Persistent Systems	5,654.0	15.8	89,050.5	(740.8)	88,309.7	15,718.0	2,881.1	1,923.0	5.6x	30.7x	46.3x
Oracle Fin.Serv.	11,799.0	8.7	102,769.3	(6,000.0)	96,769.3	8,945.0	4,025.3	3,413.0	10.8x	24.0x	30.1x
Coforge	1,889.1	44.3	83,668.2	(1,772.2)	81,896.0	18,195.0	3,457.1	1,920.0	4.5x	23.7x	43.6x
Mphasis	2,394.9	19.1	45,718.6	819.7	46,538.3	16,531.0	2,645.0	1,910.0	2.8x	17.6x	23.9x
Hexaware Tech.	548.3	61.1	33,501.1	(870.0)	32,631.1	15,380.0	2,460.8	1,320.8	2.1x	13.3x	25.4x
Tata Elxsi	3,633.8	6.2	22,638.6	(650.0)	21,988.6	3,886.0	816.1	655.0	5.7x	26.9x	34.6x
Firstsource Solutions	263.8	72.1	19,030.5	300.0	19,330.5	11,000.0	1,100.0	550.0	1.8x	17.6x	34.6x
eClerx Services	1,758.0	9.5	16,648.3	(750.0)	15,898.3	4,680.0	1,123.2	657.2	3.4x	14.2x	25.3x
KPIT Technologies	582.4	27.4	15,962.2	(400.0)	15,562.2	6,700.0	1,273.0	466.0	2.3x	12.2x	34.3x
Fractal Analytics	844.6	17.2	14,526.3	(750.0)	13,776.3	3,650.0	547.5	289.2	3.8x	25.2x	50.2x
High									10.8x	26.9x	50.2x
75th Percentile									4.5x	24.0x	34.6x
Average									4.1x	19.4x	33.6x
Median									3.4x	17.6x	34.3x
25th Percentile									2.3x	14.2x	25.4x
Low									1.8x	12.2x	23.9x
Persistent Systems Comparable Valuation									EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value									53,395.1	50,693.4	65,129.0
Net Debt									(740.8)	(740.8)	(740.8)
Implied Market Value									54,135.9	51,434.2	65,869.8
Shares Outstanding									15.8	15.8	15.8
Implies Value per Share									3,437.2	3,265.7	4,182.2
Undervalued/Overvalued									Overvalued	Overvalued	Overvalued

Figure 5 — Comparable company set and implied valuation across three multiples.

All three comps-based methods flag Persistent Systems as 'Overvalued' relative to its peer set at the current price of ₹5,654 — though comps-implied values (₹3,266–₹4,182) are still noticeably higher than the DCF's base case (₹1,098), which is worth sitting with rather than skating past (see caveats).

7. Football field — putting it all together

The football field chart lines up every valuation approach on one axis against the current market price of ₹5,654:

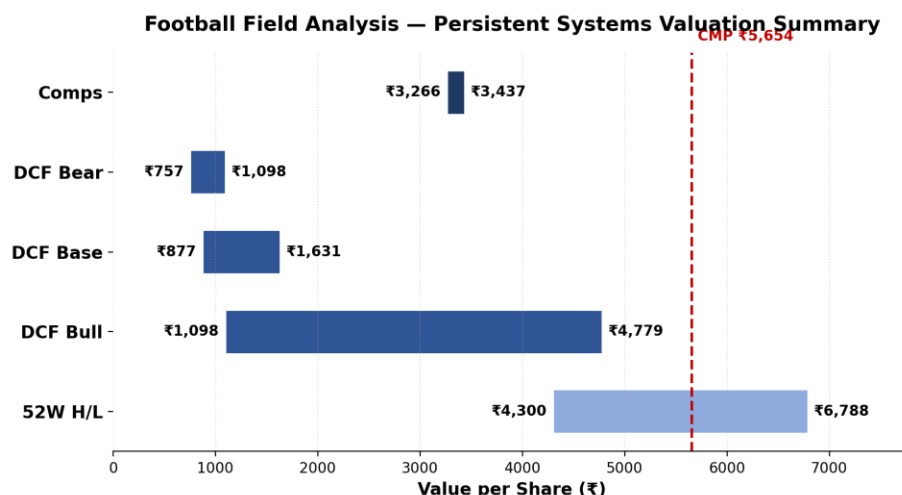


Figure 6 — Football Field: DCF (Bear/Base/Bull), Comps, and 52-week trading range vs. current market price.

Approach	Low	High
DCF Bear	₹757	₹1,098
DCF Base	₹877	₹1,631
DCF Bull	₹1,098	₹4,779
Comps (EV/EBITDA to EV/Revenue)	₹3,266	₹3,437
52-Week Trading Range	₹4,300	₹6,788

Every DCF scenario — even the Bull case — sits below the current market price of ₹5,654, and only the top of the Bull case's very wide range (driven by a lower WACC / higher growth combination) approaches it. The Comps range sits meaningfully below the market price too. Only the 52-week trading range straddles the current price, which is almost true by definition since the current price is a recent point within that range.

8. Observations and points worth double-checking

- Growth vs WACC gap: the DCF's 28.75% near-term growth rate assumption, applied against a 15.01% discount rate, still produces a value well below market — this usually means the market is pricing in either a longer high-growth runway, a lower discount rate, or both, than this model assumes. Worth testing a longer two-stage growth fade instead of a flat 5-year high-growth period.
- DCF vs Comps gap: the comps-implied value (₹3,266–₹4,182) is roughly 3–4x the DCF base case (₹1,098). This is a large gap between methodologies and is the single most important thing to reconcile before treating either number as a final view — it may reflect the market paying a premium for growth/quality that the DCF's discount rate and terminal assumptions don't fully capture, or it may mean the DCF's terminal growth/WACC combination is too conservative for a company compounding this fast, or that peer multiples are elevated across the sector — the model itself doesn't say which, but it's an assumption gap worth digging into rather than averaging away.

- Terminal value weight: roughly 73% of the DCF's enterprise value comes from the terminal value, meaning the valuation is highly sensitive to the WACC and terminal growth inputs — the sensitivity table (Figure 4) is the right first stop for stress-testing this.
- Native Excel features: the DCF sensitivity table and the football field chart in this workbook are built with Excel-only features (a Data Table and a chart that reads directly off it) that don't recalculate correctly in LibreOffice or Google Sheets. They display and work correctly when opened in Microsoft Excel; the screenshots in this report and repo were redrawn from the model's cached values to work around that for documentation purposes only — the underlying Excel file itself was not changed.

9. Conclusion

This model gives Persistent Systems three independent reads: a fundamentals-driven DCF anchored to ROIC and reinvestment history, a peer-multiple comps valuation, and a football field that puts both next to the market price and 52-week range. All three valuation approaches — DCF and comps alike — currently sit below the ₹5,654 market price, though comps values are markedly closer to market than the DCF's. That combination (all methods below market, but by very different margins) is the report's main finding, and the right next step is reconciling why the DCF and comps disagree by roughly 3–4x, rather than picking one number as the 'answer.' As always, this is a research tool for further investigation, not a standalone buy/sell recommendation.

Disclaimer: This report and the accompanying Excel model are for educational and informational purposes only. They do not constitute investment advice or a recommendation to buy or sell any security. All figures are sourced from historical company filings and the model builder's own assumptions. Please do independent research or consult a licensed financial advisor before making any investment decisions.